4696

Executive Order

By virtue of the authority vested in me by Section 18, of the Act of May 24, 1924, I hereby prescribe the following rules and regulations for the operation of a Foreign Service Retirement and Disability System:

DEFINITIONS

1. The following words and phrases used in these rules and regulations shall have the following meanings unless a different meaning is plainly required by the context:

(a) "Act" when used as referring to a law shall mean the Act of May 24, 1924, as amended by the Act of July 3, 1926.

(b) "Retirement System" shall mean the "Foreign Service Retirement and Disability System" provided for under Section 18 of the Act of May 24, 1924, as amended by the Act of July 3, 1926, and established as of July 1, 1924.

(c) "Fund" shall mean the Foreign Service Retirement and Disability Fund.

(d) "Basic Salary" shall mean the salary fixed by statute for the class to which a Foreign Service officer is commissioned, exclusive of representation allowances, post allowances, or any other allowances, emoluments, or additional compensation whatsoever, but all basic salaries in excess of $9,000 shall be considered as $9,000.

(e) "Final Average Salary" shall mean the average annual basic salary for the ten years of actual service next preceding the date of retirement, exclusive of all periods of unassigned status and leave in excess of six months and all periods of separation from the Service.

(f) "Annuity" shall mean: (1) annual payments payable in monthly instalments on the first of each month following the date of retirement; (2) a proportionate payment covering the fraction of a month occurring from the date the annuity becomes effective to the first of the month following, and (3) a similar payment covering any fraction of a month unpaid at the termination of the annuity.

MEMBERSHIP OF SYSTEM

2. All Foreign Service officers in service on July 1, 1924, and all Foreign Service officers subsequently appointed are members of the system.

(a) All diplomatic secretaries and consular officers who prior to July 1, 1924, have been, or any Foreign Service officer who may thereafter be, promoted from the classified service to the grade of ambassador or minister or appointed to positions in the Department of State, shall be members entitled to all the benefits of the system in the same manner and under the same conditions as Foreign Service officers. There shall likewise be entitled to the benefits of said system in the same manner and under the same conditions as Foreign Service officers, any Ambassador or Minister or any Assistant Secretary of State in the Service on July 3, 1926, who at the time of original appointment to the grade of ambassador or minister or to the position of Assistant Secretary of State was a diplomatic secretary or consular officer, or who at any time prior to such appointment had served for a period of ten years as diplomatic secretary or consular officer or in the Department of State or on special duty under the Department of State or in any or all of these capacities.

The Chief of the Division of Western European Affairs shall be entitled to participate in and have the benefits of the retirement and disability fund.

(b) The membership of any person in the retirement system shall cease if he shall cease to be a Foreign Service officer except as provided in paragraph 2 (a) of this section.

(c) The membership of an officer who becomes separated from the classified service by reason of appointment to some other position in the Government service (other than that of ambassador or minister or in the Department of State, the incumbents of which positions retain their membership) shall be restored upon subsequent reinstatement as Foreign Service officer, and considered continuous

but exclusive of such period of separation, provided such officer shall repay to the fund an amount equal to the amount withdrawn at the time of such separation. When an officer is so reinstated the account "Amounts forfeited by employees separated from the service" shall be reduced by the total amount of his forfeiture at the time of his separation. This amount with accrued interest at 4 per centum for the period of his separation shall be placed to the reinstated officer's credit in the account showing the total amount of his contributions with interest.

CREDITABLE SERVICE

3. Preceding the retirement or separation of an officer, a statement shall be prepared by the Department of State and sent to him for examination showing: (1) all the service rendered by him from the date of original oath of office as secretary in the diplomatic service, consul general, consul, vice consul, deputy consul, consular assistant, consular agent, commercial agent, interpreter, or student interpreter, and shall include periods of service at different times in either the diplomatic or consular service, or while on assignment to the Department of State, or on special duty, as well as all periods of separation from the service, and all periods of unassigned status and leaves of absence not in excess of six months; (2) service in the Department of State or any part thereof prior to appointment as a Foreign Service officer, provided the officer elects to pay into the Foreign Service Retirement and Disability Fund by deposit with the Secretary of State, a special contribution equal to five per centum of his annual salary for each year of such employment with interest thereon to date of payment compounded annually at four per centum.

(a) In reckoning the service in this statement each year of the officer's service at any one of the posts classed by the President under section 18 (k) of the Act as unhealthful and while the post was so classed, inclusive of regular leaves of absence, shall be counted as one year and a half, and so on in like proportion in reckoning the length of service for the purposes of retirement.

(b) Each Foreign Service officer shall examine the statement sent him and return it promptly to the Secretary of State with an endorsement thereon that it is correct or, if not, with a statement of items which are considered incorrect. Upon the retirement of a Foreign Service officer, the Secretary shall issue to him a certificate showing the years of service upon which his allowance is based and the amount of his retirement allowance.

(c) Any retired officer reinstated in the Service pursuant to section 19 of the Act shall have included in his period of service, when he shall again be retired, the entire period on which his original retirement was based together with such further time as he may have become entitled to during the period of his restoration to active service.

CONTRIBUTION

4. There shall be deducted from the compensation of each member an amount equal to five per centum of his basic salary as a contribution to the Foreign Service Retirement and Disability Fund for the payment of annuities, refunds, and allowances.

(a) Any contributions payable on account of service rendered prior to becoming a member, or on account of the repayment of contributions withdrawn, shall be received by the Secretary of State and transmitted to the Secretary of the Treasury for deposit to the credit of the Foreign Service Retirement and Disability Fund.

(b) The Secretary of State shall estimate and certify to the Secretary of the Treasury at the beginning of each fiscal year the total amount to be deducted from the salaries of members, and the Secretary of the Treasury shall deduct such amount from the corresponding appropriation for salary and credit the same to the Foreign Service Retirement and Disability Fund. At the end of each fiscal year the total contributions of all members of the retirement system as shown by the individual accounts shall be determined and the Secretary of State shall send to the Comptroller General a certificate showing the amount of the actual contributions creditable to the system for the year in order that the necessary debit or credit adjustments may be made in the appropriations concerned.

BENEFITS

5. Annuities shall be paid to retired Foreign Service officers under the following classification based on their periods of service and at the following percentages

of their final average salaries: Class A, thirty years or more, 60 per centum; Class B, twenty-seven to thirty years, 54 per centum; Class C, from twenty-four to twenty-seven years, 48 per centum; Class D, from twenty-one to twenty-four years, 42 per centum; Class E, from eighteen to twenty-one years, 36 per centum; Class F, from fifteen to eighteen years, 30 per centum.

(a) Those Foreign Service officers who retire before having contributed for each year of service shall have withheld from their annuities to the credit of the Foreign Service Retirement and Disability Fund, such proportion of 5 per centum of the said annuities as the number of years in which they did not contribute bears to the total length of service upon which the computation of the annuity is based.

(b) In case an annuitant dies without having received in annuities an amount equal to the total amount of his contributions from salary with interest thereon at 4 per centum per annum compounded annually up to the time of his death, the excess of the said accumulated contributions over the said annuity payments shall be paid to his or her legal representatives.

(c) Should any Foreign Service officer die before retirement, the total amount of his contributions, with interest at the rate of four per centum compounded annually to the date of his death, shall be paid to his legal representatives.

(d) For the purpose of the retirement system, the legal representative of a deceased Foreign Service officer or annuitant shall be deemed to be the executor or administrator, but if there be no executor or administrator, then the person in whose favor the final accounts of the officer are settled by the Comptroller General of the United States, shall be deemed to be the legal representative.

(e) Any Foreign Service officer who shall have served for a total credited period of not less than fifteen years and who before reaching the age of sixty-five years becomes totally disabled for useful and efficient service, by reason of disease or injury not due to vicious habits, intemperance, or willful misconduct on his part, shall, upon his own application or upon the order of the President, be retired on an annuity, under Section 18 (e) of the Act, provided a medical officer of the United States or a duly qualified physician or surgeon or board of physicians or surgeons designated by the Secretary of State for that purpose, shall, after a medical examination of such Foreign Service officer, certify that he is totally disabled for useful and efficient service. The results of the medical examination and other pertinent facts of the case shall be reported by the Secretary of State to the President with his recommendations. The Secretary of State is authorized to order or direct at any time such medical or other examination as he shall deem necessary to determine the facts relative to the nature and degree of disability of any officer making application for disability retirement.

(f) The disability payments will commence on the date of the President's approval of the retirement of the officer unless such date is prior to the termination of the salary status in which case annuity shall not begin until the salary status ceases.

(g) Once each year the Secretary of State shall require each disability annuitant under the age of sixty-five years to submit to a medical examination by a duly qualified physician or surgeon designated by the Secretary of State. Should such physician or surgeon certify to the Secretary of State as a result of such examination, that such annuitant is no longer disabled and that he is engaged in or is able to engage in a gainful occupation, the payment of annuity shall cease from the date of the medical examination showing recovery. The Secretary of State may restore such annuitant to active duty in which event he shall again contribute to the retirement system with his former credit as to service as of the date of retirement. Should such annuitant be restored to service and again become disabled from the same cause or from other causes as a Foreign Service officer, he shall be entitled on application to the Secretary of State to have his annuity restored, with additional credit for period of service rendered subsequent to such reinstatement, provided the Secretary of State after another examination of the annuitant shall determine that he is again disabled.

(h) Should any annuitant retired on account of disability while under the age of sixty-five years refuse to submit to medical examination by a physician or physicians designated by the Secretary of State, his annuity shall be discontinued until the withdrawal of such refusal.

(i) When a Foreign Service officer becomes separated from the service except for disability before reaching the age of retirement, he shall be paid, upon application on forms approved by the Secretary of State, an amount equal to seventy-five per centum of the total amount of contribution from his salary without interest.

The remainder to the credit of the officer's individual retirement account shall be charged to his account and credited to the Retirement and Disability Fund on an account entitled "Forfeitures."

(j) Should the annuity under subsections (e), (f), (g), and/or (h), be discontinued as in the case of the separation or death of annuitant, before the latter shall have received a sum equal to the total amount of his contributions with accumulated interest, the difference shall be paid to him or to his legal representatives.

(k) All retired Foreign Service officers shall report to the Secretary of State once a year and specify any positions of employment accepted by them during the year next preceding, stating the amount of compensation received therefrom. If it should appear that any Foreign Service officer after the date of his retirement has accepted a position of employment, the emoluments of which are greater than the annuity received by him from the United States Government by virtue of his retirement under the Act, the amount of the said annuity during the continuance of such employment shall be reduced by an amount equal to such difference. If any Foreign Service officer should fail to make the report required by this Paragraph and Section 18 (m) of the Act, payment of his annuity will be suspended until such report shall have been received.

SUPERANNUATION RETIREMENT

6. Any Foreign Service officer who attains or has attained the age of sixty-five years and rendered at least fifteen years of service shall be retired unless the President in his discretion directs by notice to the Secretary of State that such officer be retained on active duty for such period, not exceeding five years, as he may deem for the interest of the United States.

ADMINISTRATION OF RETIREMENT SYSTEM

7. The Secretary of State will prescribe such rules and regulations as he may deem necessary for the detailed administration under his direction of the retirement system and shall submit annually at the end of each fiscal year a comparative report showing all receipts and disbursements on account of refunds, allowances and annuities, the total number of active members and persons receiving annuities and amounts paid them, the total accumulated liabilities of the system not covered by the contributions of members, and the amount of the increase in this liability for the year.

8. The Secretary of the Treasury shall be the custodian of the fund and shall make investments in accordance with Section 18 (g) of the Act of May 24, 1924, of the assets of the system which shall be held by him to the credit of the fund.

CALVIN COOLIDGE

THE WHITE HOUSE,
July 25, 1927.

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